# CORPORATE GOVERNANCE AND INTERNATIONAL ETHICS

**THREE LAYERS OF ETHICAL → ARC INTEGRATION TEST → CORPORATE GOVERNANCE CONTROL CHAIN → CSR STATUTORY ARCHITECTURE → UNSPENT AND IMPACT CHRONOLOGY → STAKEHOLDER AND SHAREHOLDER TEST**

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g1 and all prior artifacts unchanged

## 00 — STAGE 00 — THREE LAYERS OF ETHICAL ENTERPRISE

THREE LAYERS OF ETHICAL ENTERPRISE | CENTRAL FOCUS | 1. THREE LAYERS OF ETHICAL ENTERPRISE | [1] ETHICS IN BUSINESS | [2] EVERYDAY COMMERCIAL MEANS | [3] CORPORATE GOVERNANCE | [4] BOARD, AUDIT AND DISCLOSURE | [5] CORE-OPERATION INTEGRITY

**CORE CLAIM**
- CENTRAL FOCUS
- 1. Three layers of ethical enterprise
- [1] Ethics in business
- [2] Everyday commercial means

**MECHANISM**
- [3] Corporate governance
- [4] Board, audit and disclosure
- [5] Core-operation integrity
- [6] Safe and fair production

**CONSEQUENCE / LIMIT**
- [7] Statutory CSR spend
- [8] No moral offset
- VERDICT → Governance, core conduct and CSR are complementary but never interchangeable.
- ANSWER USE → Use to open CSR or corporate-governance answers.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Governance, core conduct and CSR are complementary but never interchangeable.**

## 01 — STAGE 01 — ARC INTEGRATION TEST

ARC INTEGRATION TEST | CENTRAL FOCUS | 2. ARC INTEGRATION TEST | [1] REJECT ETHICS AS PUBLIC RELATIONS | [2] TEST PRICING AND PROCUREMENT | [3] TEST LABOUR AND PRODUCT SAFETY | [4] TEST ACCOUNTING AND DISCLOSURE | [5] GIVE ETHICS BOARD ACCESS

CENTRAL FOCUS → 2. ARC integration test → [1] Reject ethics as public relations → [2] Test pricing and procurement → [3] Test labour and product safety

**CORE CLAIM**
- CENTRAL FOCUS
- 2. ARC integration test
- [1] Reject ethics as public relations
- [2] Test pricing and procurement

**MECHANISM**
- [3] Test labour and product safety
- [4] Test accounting and disclosure
- [5] Give ethics board access
- [6] Align incentives with integrity

**CONSEQUENCE / LIMIT**
- [7] Protect internal challenge
- [8] Audit real outcomes
- VERDICT → Ethics must govern profit-making decisions, not decorate them afterward.
- ANSWER USE → Use for the ARC ethics-in-business distinction.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Ethics must govern profit-making decisions, not decorate them afterward.**

## 02 — STAGE 02 — CORPORATE GOVERNANCE CONTROL CHAIN

CORPORATE GOVERNANCE CONTROL CHAIN | CENTRAL FOCUS | 3. CORPORATE GOVERNANCE CONTROL CHAIN | [1] DEFINE BOARD RESPONSIBILITY | [2] SEPARATE OVERSIGHT AND MANAGEMENT | [3] STRENGTHEN AUDIT INDEPENDENCE | [4] DISCLOSE MATERIAL INFORMATION | [5] RECORD CONFLICTS OF INTEREST

CENTRAL FOCUS

3. Corporate governance control chain → [1] Define board responsibility → [2] Separate oversight and management

**CORE CLAIM**
- CENTRAL FOCUS
- 3. Corporate governance control chain
- [1] Define board responsibility
- [2] Separate oversight and management

**MECHANISM**
- [3] Strengthen audit independence
- [4] Disclose material information
- [5] Record conflicts of interest
- [6] Scrutinise related parties

**CONSEQUENCE / LIMIT**
- [7] Protect whistleblowers
- [8] Correct and report failure
- VERDICT → Structures matter because integrity needs authority, information and follow-up.
- ANSWER USE → Use for 2023 Q1(a) and governance reform.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Structures matter because integrity needs authority, information and follow-up.**

## 03 — STAGE 03 — CSR STATUTORY ARCHITECTURE

CSR STATUTORY ARCHITECTURE | CENTRAL FOCUS | 4. CSR STATUTORY ARCHITECTURE | [1] TEST ANY ONE THRESHOLD | [2] APPLY TWO-PERCENT FORMULA | [3] CHOOSE SCHEDULE VII ACTIVITY | [4] APPROVE AND DISCLOSE POLICY | [5] CLASSIFY UNSPENT AMOUNT

CENTRAL FOCUS → 4. CSR statutory architecture → [1] Test any one threshold → [2] Apply two-percent formula → [3] Choose Schedule VII activity

**CORE CLAIM**
- CENTRAL FOCUS
- 4. CSR statutory architecture
- [1] Test any one threshold
- [2] Apply two-percent formula

**MECHANISM**
- [3] Choose Schedule VII activity
- [4] Approve and disclose policy
- [5] Classify unspent amount
- [6] Use correct transfer route

**CONSEQUENCE / LIMIT**
- [7] Assess qualifying impact
- [8] Separate spend from ethics
- VERDICT → CSR is a statutory floor for qualifying companies, not discretionary compliance.
- ANSWER USE → Use for 2022 Q6(b) and close-option facts.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → CSR is a statutory floor for qualifying companies, not discretionary compliance.**

## 04 — STAGE 04 — UNSPENT AND IMPACT CHRONOLOGY

UNSPENT AND IMPACT CHRONOLOGY | CENTRAL FOCUS | 5. UNSPENT AND IMPACT CHRONOLOGY | [1] 2013 | S.135 FRAMEWORK | [2] 2019 | UNSPENT ARCHITECTURE | [3] 2021

CENTRAL FOCUS → 5. Unspent and impact chronology → [1] 2013: s.135 framework → [2] 2019: unspent architecture → [3] 2021: provisions operational

**CORE CLAIM**
- CENTRAL FOCUS
- 5. Unspent and impact chronology
- [1] 2013: s.135 framework
- [2] 2019: unspent architecture

**MECHANISM**
- [3] 2021: provisions operational
- [4] 2021: ongoing project defined
- [5] 2021: CSR-1 registration
- [6] 2021: impact mandate

**CONSEQUENCE / LIMIT**
- [7] 2022: cost cap revised
- [8] 2026: bounded SSE route
- VERDICT → Keep statutory creation, rule-level operation and later amendment claims separate.
- ANSWER USE → Use to prevent CSR chronology errors.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Keep statutory creation, rule-level operation and later amendment claims separate.**

## 05 — STAGE 05 — STAKEHOLDER AND SHAREHOLDER TEST

STAKEHOLDER AND SHAREHOLDER TEST | CENTRAL FOCUS | 6. STAKEHOLDER AND SHAREHOLDER TEST | [1] IDENTIFY OWNERS' LEGITIMATE CLAIM | [2] PROTECT LONG-TERM ENTERPRISE VALUE | [3] IDENTIFY EMPLOYEE INTERESTS | [4] PROTECT CONSUMER SAFETY | [5] INCLUDE AFFECTED COMMUNITY

| CORE CLAIM | MECHANISM | CONSEQUENCE / LIMIT |
|---|---|---|
| CENTRAL FOCUS | [3] Identify employee interests | [7] Consider future generations |
| 6. Stakeholder and shareholder test | [4] Protect consumer safety | [8] Give a weighted verdict |
| [1] Identify owners' legitimate claim | [5] Include affected community | VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust. |
| [2] Protect long-term enterprise value | [6] Internalise environmental harm | ANSWER USE → Use for sustainability and product-safety cases. |

**CORE CLAIM**
- CENTRAL FOCUS
- 6. Stakeholder and shareholder test
- [1] Identify owners' legitimate claim
- [2] Protect long-term enterprise value

**MECHANISM**
- [3] Identify employee interests
- [4] Protect consumer safety
- [5] Include affected community
- [6] Internalise environmental harm

**CONSEQUENCE / LIMIT**
- [7] Consider future generations
- [8] Give a weighted verdict
- VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust.
- ANSWER USE → Use for sustainability and product-safety cases.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust.**

## 06 — STAGE 06 — SERIOUS FRAUD AND WHISTLEBLOWING

SERIOUS FRAUD AND WHISTLEBLOWING | CENTRAL FOCUS | 7. SERIOUS FRAUD AND WHISTLEBLOWING | [1] FRAGMENTED FRAUD INVESTIGATION | [2] NARESH CHANDRA 2002 PROPOSAL | [3] SFIO SET UP IN 2003 | [4] STATUTORY BASIS IN S.211 | [5] MULTIDISCIPLINARY INVESTIGATION

CENTRAL FOCUS → 7. Serious fraud and whistleblowing → [1] Fragmented fraud investigation → [2] Naresh Chandra 2002 proposal → [3] SFIO set up in 2003

**CORE CLAIM**
- CENTRAL FOCUS
- 7. Serious fraud and whistleblowing
- [1] Fragmented fraud investigation
- [2] Naresh Chandra 2002 proposal

**MECHANISM**
- [3] SFIO set up in 2003
- [4] Statutory basis in s.211
- [5] Multidisciplinary investigation
- [6] Bounded s.212 arrest power

**CONSEQUENCE / LIMIT**
- [7] SOX s.806 civil remedy
- [8] SOX s.1107 criminal offence
- VERDICT → Precision about institutions and remedies prevents attractive but false equivalence.
- ANSWER USE → Use in corporate-fraud and whistleblower answers.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Precision about institutions and remedies prevents attractive but false equivalence.**

## 07 — STAGE 07 — INTERNATIONAL ANTI-CORRUPTION LAYERS

INTERNATIONAL ANTI-CORRUPTION LAYERS | CENTRAL FOCUS | 8. INTERNATIONAL ANTI-CORRUPTION LAYERS | [1] UNCAC TREATY OBLIGATIONS | [2] INDIA RATIFIED IN 2011 | [3] ADB-OECD COOPERATIVE PLAN | [4] NOT OECD CONVENTION MEMBERSHIP | [5] LENDER FINANCIAL CONDITIONS

| CORE CLAIM | MECHANISM | CONSEQUENCE / LIMIT |
|---|---|---|
| CENTRAL FOCUS | [3] ADB-OECD cooperative plan | [7] FCPA issuer accounting rules |
| 8. International anti-corruption layers | [4] Not OECD Convention membership | [8] Domestic implementation needed |
| [1] UNCAC treaty obligations | [5] Lender financial conditions | VERDICT → Treaty, cooperation, lending and extraterritorial law use different logics. |
| [2] India ratified in 2011 | [6] FCPA anti-bribery rules | ANSWER USE → Use for global anti-corruption questions. |

**CORE CLAIM**
- CENTRAL FOCUS
- 8. International anti-corruption layers
- [1] UNCAC treaty obligations
- [2] India ratified in 2011

**MECHANISM**
- [3] ADB-OECD cooperative plan
- [4] Not OECD Convention membership
- [5] Lender financial conditions
- [6] FCPA anti-bribery rules

**CONSEQUENCE / LIMIT**
- [7] FCPA issuer accounting rules
- [8] Domestic implementation needed
- VERDICT → Treaty, cooperation, lending and extraterritorial law use different logics.
- ANSWER USE → Use for global anti-corruption questions.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Treaty, cooperation, lending and extraterritorial law use different logics.**

## 08 — STAGE 08 — INTERNATIONAL AID ETHICS

INTERNATIONAL AID ETHICS | CENTRAL FOCUS | 9. INTERNATIONAL AID ETHICS | [1] BEGIN WITH HUMAN NEED | [2] PRESERVE RECIPIENT OWNERSHIP | [3] TEST DONOR CONDITIONALITY | [4] AVOID TIED ADVANTAGE | [5] CREATE DUAL ACCOUNTABILITY

**CORE CLAIM**
- CENTRAL FOCUS
- 9. International aid ethics
- [1] Begin with human need
- [2] Preserve recipient ownership

**MECHANISM**
- [3] Test donor conditionality
- [4] Avoid tied advantage
- [5] Create dual accountability
- [6] Prevent diversion

**CONSEQUENCE / LIMIT**
- [7] Reduce dependency
- [8] Build capacity and exit
- VERDICT → Ethical aid enlarges local agency while retaining transparent use safeguards.
- ANSWER USE → Use for 2023 Q1(b).

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Ethical aid enlarges local agency while retaining transparent use safeguards.**

## 09 — STAGE 09 — WAR AND ARMS-TRANSFER ETHICS

WAR AND ARMS-TRANSFER ETHICS | CENTRAL FOCUS | 10. WAR AND ARMS-TRANSFER ETHICS | [1] RESPECT SOVEREIGNTY | [2] TEST LAWFUL RESORT TO FORCE | [3] DISTINGUISH CIVILIANS | [4] APPLY PROPORTIONALITY | [5] PROTECT NEUTRAL AID

CENTRAL FOCUS → 10. War and arms-transfer ethics → [1] Respect sovereignty → [2] Test lawful resort to force → [3] Distinguish civilians

**CORE CLAIM**
- CENTRAL FOCUS
- 10. War and arms-transfer ethics
- [1] Respect sovereignty
- [2] Test lawful resort to force

**MECHANISM**
- [3] Distinguish civilians
- [4] Apply proportionality
- [5] Protect neutral aid
- [6] Assess arms end use

**CONSEQUENCE / LIMIT**
- [7] Check diversion risk
- [8] Monitor and suspend misuse
- VERDICT → Strategic purpose never removes civilian-protection and foreseeable-harm duties.
- ANSWER USE → Use for 2020 Q8, 2022 Q5(a) and 2023 Q2(a).

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Strategic purpose never removes civilian-protection and foreseeable-harm duties.**

## 10 — STAGE 10 — PRIVATE-INSTITUTION DILEMMA ROUTE

PRIVATE-INSTITUTION DILEMMA ROUTE | CENTRAL FOCUS | 11. PRIVATE-INSTITUTION DILEMMA ROUTE | [1] STATE FACTS AND STAKEHOLDERS | [2] IDENTIFY CONFLICT OR SAFETY FLOOR | [3] DISCLOSE MATERIAL INTEREST | [4] RECUSE OR REFUSE CERTIFICATION | [5] PRESERVE RECORDS

CENTRAL FOCUS

11. Private-institution dilemma route → [1] State facts and stakeholders → [2] Identify conflict or safety floor

**CORE CLAIM**
- CENTRAL FOCUS
- 11. Private-institution dilemma route
- [1] State facts and stakeholders
- [2] Identify conflict or safety floor

**MECHANISM**
- [3] Disclose material interest
- [4] Recuse or refuse certification
- [5] Preserve records
- [6] Seek independent review

**CONSEQUENCE / LIMIT**
- [7] Remedy affected persons
- [8] Redesign incentives and controls
- VERDICT → Private ownership does not erase patient, consumer or fair-process duties.
- ANSWER USE → Use for Sneha, food and defective-product cases.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Private ownership does not erase patient, consumer or fair-process duties.**

## 11 — STAGE 11 — MAINS ANSWER SPINE

MAINS ANSWER SPINE | CENTRAL FOCUS | 12. MAINS ANSWER SPINE | [1] DEFINE THE PRECISE ETHICAL LAYER | [2] STATE A QUALIFIED THESIS | [3] NAME THE GOVERNING MECHANISM | [4] USE EXACT LAW OR INSTITUTION | [5] APPLY AN INDIA-CENTRIC EXAMPLE

CENTRAL FOCUS → 12. Mains answer spine → [1] Define the precise ethical layer → [2] State a qualified thesis → [3] Name the governing mechanism

**CORE CLAIM**
- CENTRAL FOCUS
- 12. Mains answer spine
- [1] Define the precise ethical layer
- [2] State a qualified thesis

**MECHANISM**
- [3] Name the governing mechanism
- [4] Use exact law or institution
- [5] Apply an India-centric example
- [6] Test the strongest limitation

**CONSEQUENCE / LIMIT**
- [7] Propose verifiable safeguards
- [8] Conclude with balanced duty
- VERDICT → High-scoring answers distinguish mechanisms before recommending an ethical balance.
- ANSWER USE → Use as the final theory and case-study checklist.

**ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → High-scoring answers distinguish mechanisms before recommending an ethical balance.**

## E — EXTRA — SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT | 1. ARCHITECTURE | 2. CONCEPTS AND DISTINCTIONS | 3. DETAILED TREATMENT | 4. INSTITUTIONAL AND REFORM ARCHITECTURE | 5. INDIAN APPLICATIONS AND BOUNDARY CASES | 6. LIMITATIONS AND TRADE-OFFS | 7. MUST-KNOW FACTS FOR ADVANCED PRELIMS

**OPTIONAL ETHICAL DEPTH**
- 1. Architecture
- 2. Concepts and distinctions
- 3. Detailed treatment
- 4. Institutional and reform architecture

**ADVANCED LIMIT / TRADE-OFF**
- 5. Indian applications and boundary cases
- 6. Limitations and trade-offs
- 7. Must-Know Facts for Advanced Prelims
- 8. Advanced Prelims traps

**ADMINISTRATIVE APPLICATION**
- 9. Current application
- 10. PYQ-based analytical application
- 11. Mains-ready framework
- 12. Probable questions

**OPTIONAL STATUS —** This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels